

2006 SCC OnLine All 1312 : (2007) 2 All LJ 5

Reversed in *Badri Kedar Paper (P) Ltd. v. U.P. ERC*, (2009) 3 SCC 754

In the High Court of Allahabad
(Lucknow Bench)
(BEFORE S.R. ALAM AND BHANWAR SINGH, JJ.)

M/s. Saini Alloys Private Limited

Versus

U.P. Power Corporation, Lucknow & Ors.

First Appeal No. 75 of 2002

Decided on October 19, 2006



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The Judgment of the Court was delivered by

BHANWAR SINGH, J.:— All the above appeals have arisen out of the common orders dated 12-9-2002 and 4-10-2002, passed by the Uttar Pradesh Electricity Regulatory Commission, Lucknow (to be hereinafter known as Regulatory Commission). By virtue of the order of September 12, 2002, the Regulatory Commission rejected the appellants' application for permission to approach the High Court for determining the issue regarding validity of the Circular dated 8-9-2000 by virtue of which an option was given to the consumer to inform the Power Corporation whether 500 hours assured supply was or was not required.

2. The other order dated October 4, 2002 was issued rejecting the appellants' application for review of the former order dated 12-9-2002. By virtue of the lone writ petition, the petitioner has questioned the propriety and legality of the order dated 31-8-2001 whereby the UPPCL had withdrawn its earlier Circulars dated 8-9-2000 and 15-12-2000.

3. The factual matrix of all the cases giving rise to these appeals are more or less similar. However, a brief narration of the facts involved



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in each appeal would facilitate our understanding.

4. First, we take up the First Appeal No. 76 of 2002, preferred by M/s. Kajaria Ceramics Limited. As alleged, the controversy has arisen due to ambiguous language of the Regulatory Authority while issuing order dated 27-7-2000 in regard to tariff under category HV-2. M/s. Kajaria Ceramics Limited deals in manufacturing of Ceramic tiles, as the name suggests, and the factory of the company is located at Secunderabad, the suburban of district Bulandshahr, U.P. The U.P. Power Corporation, the licensee of energy published its tariff on 27-7-2000 and the tariff rates came into force with effect from 9-8-2000. The following chart would give a clear picture about the fixed charges in rupees per KVA per month and energy charges Paise per unit:

UPERC As Approved	
Demand Charge PLUS	130
Energy Charge	390
For consumers getting power supply in Restricted hours	15% surcharge on demand and energy charges
For consumers getting power supply on independent feeders emanating from 400/220/132 KV	15% surcharge on demand and energy charges and have the assured supply of minimum 500 hours in a month. In case of shortfall in the guaranteed hours of the supply, a rebate at the rate of 1% per ten hours or part thereof shall be admissible on the total amount as computed under rate of charge.

5. The Power Corporation had invited options from the consumers of heavy electricity and asked them to inform the authorities whether they desire of 500 hours per month assured supply while getting power on independent feeders. However, the said notification was held to be otiose and struck down by the High Court in *L.M.L. Limited v. State of U.P.*, 2001 (2) AWC 1472 : (2001 All LJ 2520) (to be hereinafter referred to as *L.M.L.'s case*). The reason, on the basis of which the said notification was struck down, was that the licensee had no power to amend the rates of tariff approved by the Regulatory Commission.

6. The appellants and the petitioner, however, dispute the issue regarding applicability of the judgment to their individual cases on various grounds. Although such grounds are more or less similar, yet in order to appreciate the pleadings of the individual consumer, it will be appropriate to mention their versions with the individual variations put forth by them. Accordingly, their individual cases may be narrated as

below:

M/s. Kajaria Ceramics

7. In the case of *Kajaria Ceramics*, it was pleaded that since the said company had no independent feeder of energy supply nor opted for 500 hours guaranteed supply in a month, the licensee's demand for 15% surcharge was not justified. Not only this but the said company had also informed the authorities of the licensee that 500 hours assured supply was not required for operation of their factory. In such circumstances, the company moved the Regulatory Commission for clarification of the ambiguous situation and circumstances in which the said company was unnecessarily being taxed with a demand of 15% surcharge.

8. The appellant reiterated before the Commission that the independent feeder surcharge, as demanded by the district authorities, is illegal as neither any guaranteed supply was provided to the Company nor it had ever been asked for. Moreover, the consumer-appellant was not having any independent feeder emanating from 400/220/132 KV Sub-Station.

9. Subsequently, the other consumers — 17 in number also filed similar petitions before the Commission. All such cases were tagged for hearing and disposal. However, no independent hearing was afforded to the appellant and a common date was fixed. Accordingly, all the petitions were listed on August 27, 2002 for disposal. On that date, some consumers on the basis of a different stand moved an application before the Regulatory Commission for permission to approach the High Court seeking clarification of earlier decision in *Lohia Machine's case*, although no such issue was raised by this appellant. Thereafter,



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no independent hearing was allowed and not only the clarification applications but also the original petitions were rejected by the Commission on 12-9-2002. This appellant-consumer then moved another review application before the Commission on 28-9-2002 by placing all the facts on record but the said review petition too was dismissed by the Commission on 4-10-2002.

10. Thus, it is in these circumstances that the appellant was obliged to prefer the present appeal.

11. In this appeal, the appellant has reiterated its case of there being no independent feeder available to the factory for electricity consumption and when it is so, there was neither any undertaking nor a demand for assured supply of 500 hours in a month. In this situation,

no liability of 15% independent feeder surcharge can be fastened upon the appellant.

12. The respondents, resisting the appeal filed the counter-affidavit of Shri Rajesh Kumar Gupta, the then Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Bulandshahr. Shri Gupta asserted in his affidavit that the U.P. Power Corporation Limited had withdrawn the Circulars dated 8-9-2000 and 15-12-2000 after they were declared null and void in *L.M.L.'s* case (2001 All LJ 2520) by the High Court. As a consequence, the U.P.P.C.L. directed its district authorities to realise an additional charge of 15% from those who had availed on independent feeders assured supply of 500 hours in a month. It was not correct to say that the first Circular of September 8, 2000 was issued by the U.P.P.C.L. as it had realised that it was not in a position to supply the guaranteed quantum of electricity through independent feeders. No doubt, the two circulars in question were issued by the Corporation, providing options to the consumers but it had full capacity to assured guaranteed supply of power of the requisite hours. However, Allahabad High Court held that alteration in the terms of tariff without concurrence of the Commission was void. Keeping this decision in view, the U.P.P.C.L. had withdrawn both the Circulars of September 8, 2000 and December 15, 2000 and directed its staff to recover the amount of 15% surcharge. The appellant-consumer filed a reference before the Commission, during pendency of which, 17 different petitioners had sought permission from the Commission to approach the High Court to seek clarification/directions as there was some confusion/ambiguity in its judgment passed in *LML's* case. As a matter of fact, when the appellant-realised that there was no substance in their original petition, such frivolous application for permission was moved. The Commission declined to grant any permission by holding that it is for the petitioners themselves to take decision in the matter as they might deem appropriate. After the appellants reference petition and the review petition were dismissed, the respondents proceeded to realise 15% independent feeder surcharge as such the demand, is in accordance with law.

13. Shri Raj Kumar Rastogi, Executive Engineer (Revenue), EDD-1 Bulandshahr, filed a supplementary affidavit and testified that the appellant was sanctioned 1500 KVA power load vide agreement executed on 30-4-1990. The said load was further enhanced to 2400KVA and an agreement to this effect was entered into between the parties on 7-3-1994. The said agreement clearly mentions that the supply shall be given through independent feeder and the manufacturing process of the consumer has also been specified as continuous process. In this way, the appellant has all along been availing the benefit of in dependent feeder and even during the year

under consideration, the consumer has availed supplied power in excess of 500 hours every month. The appellant had also by its registered letter No. KCL/SM(E & 1)/00/723, dated 29-9-2000 addressed to the Executive Engineer, Power Corporation, Bulandshahr had acknowledged drawing power from independent feeder.

14. Mr. R.K. Gupta who filed the counter-affidavit earlier also brought his supplementary counter-affidavit and asserted that the MRI report indicated that the appellant-consumer consumed unrestricted supply from urban and independent feeder during restricted hours.



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15. Mr. S.C. Verma, Senior Manager (Electrical) in M/s. Kajaria Ceramics filed his rejoinder-affidavit and reiterated almost all the facts narrated earlier but he has not made rebuttal of the averment that there was an agreement between the appellant and the licensee for the continuous supply for installing an electricity line connecting mains and apparatus including transformer.

M/s. Modipon Fibers Co.

16. In First Appeal No. 78 of 2002, M/s. Modipon Fibers Co. has also prayed for setting aside the impugned orders dated 12-9-2002 and 4-10-2002, passed by the Regulatory Commission. The appellant which has its plant of manufacturing fibers at Modinagar in Ghaziabad District has also stated that both the decisions of the Commission are liable to be set aside as the Commission has not dealt with the material which was placed before it. According to the company, a very important question of law has arisen for determination by this Court in the present appeal and it is to the effect as to whether the Commission's two decisions dated 12-9-2002 and 4-10-2002 are complete decisions on the issue referred to the Commission by the appellant. Besides above, the following questions of law need to be dealt with:

1. Whether Commission has rightly gone through the application moved by some other customer seeking for permission to approach the High Court and whether it was open for the Commission to dismiss the entire proceedings?
2. Whether the Commission has rightly decided the original petition of the appellant on the basis of the decision in *L.M.L.'s case* (2001 All LJ 2520) by going through the spirit of the said decision?
3. Whether the decision in *LML's case* was a hurdle for the Commission to deal with the matter referred to by the appellant?

4. Whether the verdict of the Commission by above two orders is correct and whether it was not the Commission's duty to look into the unfair business of the licensee?

17. The appellant-consumer has asserted that it had never consumed supply of electricity up to the guaranteed quantum and, therefore, the licensee was not entitled to impose surcharge of 15% but the Commission has not entered into the merit of this contention. Since the Corporation itself was not capable of supplying guaranteed energy of 500 hours per month, Circular dated 8-9-2000 was issued providing for an option not to avail the guaranteed supply of 500 hours in a month. The Commission was asked by virtue of filing a reference petition before it to examine the unfair business of the licensee, as on one hand, the Corporation accepted that it was not in a position to supply assured guaranteed quantum and on the other, after L.M.L.'s decision, it levied the additional surcharge of 15% and issued the demand notice. The Commission without application of mind to the provisions of Sections 10K, 24, 34 and 35 of the U.P. Electricity Reforms Act, 1999 rejected the reference petition. Even after the two Circulars had been withdrawn subsequently by the Power Corporation, the Commission was required to determine as to whether precondition for imposing 15% surcharge had been fulfilled or not. The Commission has not looked into the arbitrary manner in which the fictitious demand for 15% additional surcharge had been raised. Both the orders under challenge clearly indicate that the real issues have not been dealt with on merit by the Commission and the latter had wrongly interpreted the judgment in *L.M.L.'s* case (2001 All LJ 2520). As a matter of fact, it was the licensee's illegal conduct of raising fictitious surcharge demand without there being any guaranteed supply. The High Court had not restrained the Commission from proceeding or for granting approval to the licensee or from dealing with every case separately on merit where unfair business had been conducted by the licensee. The Commission has accepted in its order dated 1-9-2001 that 15% independent feeder surcharge was not realistic and legal, so they dropped realisation from 15-5-2001. Therefore, it was the duty of the Commission to look this aspect also and decide whether the licensee had made guaranteed supply and also whether the consumer was liable to pay such surcharge or not. This material



aspect has not been dealt with by the Commission while passing the two orders dated 12-9-2002 and 4-10-2002.

18. By virtue of seeking amendment in the memo of appeal, the appellant-consumer pleaded further that the demand of 15% surcharge was ex facie illegal and unauthorised as the “tariff” nowhere permitted the licensee to press for the aforesaid demand on the basis of continuous supply. Even the second kind of surcharge on the count of electricity use during restricted hours, was illegal as the appellant had never asked for supply of power during the restricted hours. Unless and until there was any provision to restrict the appellant consumer from consuming power during restricted hours, there was no occasion for the appellant to opt for power use during the restricted hours. In the case of appellant, since the licensee had not borne the cost of independent feeder connecting the appellant's plant with mains, it cannot be subjected to liability of independent feeder surcharge.

19. Mr. B.K. Sharma, the then Executive Engineer (Revenue) filed his counter-affidavit asserting therein that the Regulatory Commission has passed a detailed order on the reference filed by the appellant by categorically holding that since *L.M.L.'s case* by which the Circular issued by the respondent Corporation was declared void is pending before the Supreme Court, the matter being sub judice could not be dealt with. The appellant's plea that the licensee was not in a position to supply guaranteed quantum of electricity was rejected to be as baseless. It is different that the Circulars dated 8-9-2000 and 21-12-2000 were issued by the respondent-Corporation to provide option to the consumers. The Commission in its order dated 29-1-2000 provided for 15% additional surcharge on consumers deriving power from independent feeder and such consumers were assured supply of 500 hours in a month. In a case of default in the assured supply, a rebate of 1% for each 10 hours shortfall was admissible on the total computed charges. After the decision in *L.M.L.'s case* (2001 All LJ 2520), the licensee had withdrawn both the Circulars in question and consequently raised the demand from the consumers. Some of the consumers moved the Commission for permission to approach the High Court for clarification when they realised that the reference petition had no merit. The Commission rightly declined to grant any permission and the review petitions were also correctly and legally disposed of as without merit.

20. In view of these objections, the present appeal is not tenable in the eye of law and, therefore, it deserves to be dismissed.

21. In his rejoinder-affidavit, Shri Pankaj Kumar Sinha, Deputy General Manager, Legal has simply reiterated the pleas raised by the appellant earlier. Nothing new came forward.

M/s. Samtel Colour Limited

22. In First Appeal No. 82 of 2002 also, M/s. Samtel Colour Limited, Ghaziabad, engaged in manufacturing of steel ingots, gets power

supply through 33-KVA mixed feeder. It has assailed the two orders dated 12-9-2002 and 4-10-2002 passed by the Regulatory Commission, mainly on the grounds that the latter did not consider the merit of the case and with out going through the materials placed before it passed the orders impugned in this appeal. The; appellant had given its option that it was not interested for guaranteed supply. Consequently, the U.P. Power Corporation had never supplied the guaranteed electricity, a fact merit of which was not looked into by the Commission. The Regulatory Commission has also not dealt with the specific point of the appellant that it was the Power Corporation itself which declined to supply the assured power. It was only after the *L.M.L.*'s case that the Corporation withdrew its circular letter and levied 15% illegal surcharge on the total monthly bill. This unfair business run by the Corporation was not looked into; rather the Commission had rejected the reference merely by taking the plea that in view of the decision in *L.M.L.*'s case, there remains nothing to be decided by the Commission. The Commission had also not considered the provisions of Sections 10-K, 24, 34 and 35 of the U.P. Electricity Reforms Act, 1999 and with a non-application of mind passed the orders in question. It is further pleaded that the Commission



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had wrongly interpreted some other consumers' application dated 27-8-2002, meant for seeking permission to approach the High Court. The Commission had also not looked into the fact that in the *L.M.L.*'s case, the High Court had not dealt with licensee's illegal conduct of demanding fictitious surcharge without guaranteed supply. The High Court had not restrained the Commission from proceeding or for granting approval to the licensee or from dealing with each and every case separately on merit. In this way, the Commission had wrongly applied *L.M.L.*'s case. Further, the Commission had also not come across while deciding the reference petition that it has itself accepted in its order dated 1-9-2001 that 15% surcharge on independent feeder was not realistic and legal and as such, it dropped realisation thereof from 15-5-2001 and in such circumstances, it was the duty of the Commission to go through this very important aspect of the matter as to whether the consumer was liable to pay such surcharge even without supply of guaranteed power by the UPPCL. In such situation, the decision of the Commission is meritless and is liable to be set aside.

23. Mr. Jag Mohan Lal, the then Executive Engineer, Electricity Distribution Division-1, Gaziabad has filed his counter-affidavit on

behalf of the respondents and deposed that it is incorrect to say that since the licensee was not in position to supply guaranteed power through the independent feeders, it issued the Circular dated 8-9-2000 giving liberty to the consumers to exercise their option that in case they were not interested to take supply of power for 500 hours in a month, 15% surcharge on such count will not be levied. The Commission by its order dated 29-1-2000 had provided 15% additional surcharge on the total bill against a consumer deriving power from independent feeder with assured supply of 500 hours in a month and in case of short fall in such supply, a rebate of 1% on each 10 hours shortfall was admissible on the total computed amount. Besides, the UPPCL had no jurisdiction to issue circulars dated 8-9-2000 and 15-12-2000 as it amounted to altering the terms of the tariff and keeping this in view, the High Court in *L.M.L.'s case* (2001 All LJ 2520) termed these circulars to be as void and as such the respondents were right in their move to realise 15% additional surcharge on the total bill.

24. Mr. A.M. Bansal has filed his rejoinder-affidavit and repeated the earlier version with the only addition that as the Power Corporation had not made the assured supply of 500 hours, the shortfall must have been reduced in guaranteed supply with the rebate of 1% for each 10 hours default as enumerated in the tariff order dated 27-7-2000 issued by the Commission and the consequential order dated 9-8-2000, published by the UPPCL.

M/s. Sandila Metal Wires (P) Limited

25. M/s. Sandila Metal Wires (P) Limited, Hardoi has filed F.A.F.O. No. 30 of 2004, challenging the Regulatory Commission's order dated 11-9-2003, by which the latter has dismissed Petition No. 51 of 2002 moved against the demand of 15% additional charge vide bill dated 11-9-2002. The appellant-consumer has pleaded that it had opted for not getting 500 assured electricity supply during the period from 9-8-2000 to 15-9-2001 and therefore, the demand of 15% independent feeder surcharge is ex facie illegal and contrary to the tariff. The Commission had not considered the relevant facts put forth by the appellant on its merit and without applying its mind passed the impugned order which is illegal and bad on facts and law both. The Commission, vide order in question, had also decided seven more Industries' case relating to the same subject-matter regarding illegal levy of 15% surcharge for supply of power on independent feeder applicable to HV-2 consumers. It is not disputed that the appellant is covered by rate schedule HV-2 under the tariff order dated 27-2-2000, issued by the Regulatory Commission. It is also pleaded that the Circular dated 8-9-2000 clearly depicts that 15% charge would not be levied on any consumer unless and until he opts for guaranteed supply of minimum 500 hours in a month. The Circulars dated 8-9-2000 and 15-12-2000 were issued by the Power

Corporation after detailed discussions with the Commission. Since the correct facts were not placed before



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the High Court in *L.M.L.'s case*, the Court held the Circular dated 8-9-2000 to be inoperative and void in law. It is further contended that the levy of 15% surcharge is dependent upon the consumers getting power supply for a minimum of 500 hours which include the peak/restricted hours and further they were given the right to opt for such a supply. The Commission itself issued the tariff order dated 1-9-2001 whereby it discontinued the 15% additional surcharge. This order was issued by the Regulatory Commission after the UPPCL's declination to supply guaranteed power of minimum 500 hours as it was not practically possible for it. The Regulatory Commission had not taken into consideration the cause of abolition of 15% additional surcharge for the year 2001-2002. To be explicit, the appellant-consumer's contention is that it was owing to the licensee's operational and technical difficulties that it had given liberty to the consumers to either opt to use 500 hours assured supply or not. The appellant cannot be punished for the alleged non-approval, if any of the Circular, issued by the UPPCL. The observations of this Court in *L.M.L.'s case* (2001 All LJ 2520) cannot be said to be binding upon the Regulatory Commission as the dispute in question before the High Court was between the L.M.L. and KESCO and not with any other consumer of the licensee like the appellant in this case. Besides, this judgment in *L.M.L.'s case* is subject to an appeal pending before the Apex Court. The demand of 15% additional surcharge is nothing but an extraction of money. It amounts to imposition of tax by the respondents which is illegal and violative of Arts. 19(1)(g) and 300-A of the Constitution of India. The respondents cannot resile from the terms/promises of the Circulars of September 8, 2000 and December 15, 2000 and they are estopped to do so by virtue of principles of promissory estoppel or principle, analogous thereto. On these facts and grounds, the appellant-consumer has prayed for setting aside the Regulatory Commission's order under appeal.

26. Mr. C.S. Mishra, who was at the relevant time posted as Executive Engineer. EDD-II, U.P. Power Corporation Limited, Hardoi has filed his counter-affidavit on behalf of the opposite parties. This affidavit only mentions about the *L.M.L.'s case* decision and that of the Regulatory Commission's order under challenge. It has been mentioned further that the U.P. Power Corporation Limited had supplied power to the appellant factory for more than 500 hours every month in the

calender year 2000 and 2001. At last, it has been prayed that the appeal as also the application for interim relief being devoid of merit are liable to be dismissed with costs.

27. Mr. Abhay Kumar Agrawal through his rejoinder-affidavit dated April 28, 2004 has reiterated the averments made in the affidavit filed in support of the application for interim relief. Nothing new has been added by him.

M/s. Saini Alloys Private Limited

28. M/s. Saini Alloys Private Limited, Sikanderabad (Bulandshahr) has also filed First Appeal No. 75 of 2002 against the orders dated 12-9-2002 and 4-10-2002, passed by the Regulatory Commission. The appellant is a consumer of the U.P. Power Corporation and gets supply through 33-KVA mixed feeder and is engaged in the manufacturing of steel ingots. The main grounds for challenge are that the Regulatory Commission had not gone into the material facts and without applying its mind has passed the orders in appeal. The appellant consumer had exercised its option that it was not interested for any guaranteed supply. The Commission was not right in its observation that after the *L.M.L.'s case*, nothing remains to be decided by it. The Commission had also not gone through the merits of the case of the appellant-consumer. The main contention of the appellant before the Commission was that the licensee had never supplied electricity up to the assured quantity and accordingly, the UPPCL was not empowered to impose additional surcharge but this issue was not taken into consideration by the Commission while deciding the matter and as such the decision of the Commission is erroneous. The Commission has also not cared to thoroughly examine the unfair business of the licensee to the effect that the licensee had expressed its inability to supply



power to the guaranteed extent which was the basis of realising the surcharge and consequently, the Power Corporation itself dropped realisation of 15% surcharge. The appellant-consumer had also moved an application for clarification/review of the order dated 12-9-2002 but the Commission with complete non-application of mind rejected the application. The Commission has also not looked into the fact that in *L.M.L.'s case*, the High Court has not dealt with the UPPCL's illegal conduct of raising fictitious surcharge demand without guaranteed supply. Thus, the Commission had wrongly applied *L.M.L.'s case* in the case of the appellant-Consumer. Further material aspect which too was not looked into is that the Commission itself in its order dated 1-9-2001 accepted that 15% independent feeder surcharge was not realistic

and legal and as such, it dropped realization of such surcharge w.e.f. May 15, 2001. On these grounds, the appellant-consumer was sought for setting aside the two orders under appeal.

29. Mr. Rajesh Kumar Gupta, the then Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Bulandshahr has filed a counter-affidavit on behalf of all the respondents. It is asserted that in pursuance to the directions of this Court in *L.M.L.'s* case (2001 All LJ 2520), the Circulars dated 8-9-2000 and 21-12-2000 were withdrawn and a direction was issued to recover the amount of 15% additional surcharge from the consumers who had exercised their option not to get guaranteed power supply of 500 hours. Since the appellant had used power through independent feeder, it is bound to pay the surcharge at the rate of 15% as determined by the Commission. In this way, the answering opposite party has sought dismissal of the appeal.

M/s. Jagannath Steels Private Limited

30. In First Appeal No. 96 of 2002 *Jagannath Steels Private Limited, Azamgarh v. U.P. Power Corporation*, the appellant-consumer has assailed the order dated 11-9-2003, passed by the Regulatory Commission under Section 34 of the U.P. Electricity Reforms Act, 1999. It has been contended that the UPPCL had never supplied the assured power and as such, there was no question of charging 15% surcharge on account of independent feeder. It is further pleaded that in the other first appeals filed against the Commission's orders dated 12-9-2002 and 4-10-2002, this Court had stayed the demand of the UPPCL and disconnection of power but the Regulatory Commission had not taken into consideration this fact and passed the order in question. After the order of demand was stayed by the High Court, the Regulatory Commission should have waited for the final decision of this Court and stayed the UPPCL's move to disconnect the power supply to the appellant-consumer but by adopting a contrary view, the erroneous condition of depositing 30% amount of the total surcharge bill has been imposed. This has been termed to be as arbitrary and illegal. The view of the Commission that after the decision in *L.M.L.'s* case (2001 All LJ 2520), nothing was left to be decided, is wrong as the issue regarding carrying out of unfair business by the Power Corporation was not before the High Court. The High Court had simply termed the Circular dated 8-9-2000, issued by the UPPCL to be as void. Hence the decision of Commission dismissing the reference petition filed by the appellant-consumer is bad. Further when the appellant moved an application for clarification/review of the earlier order, the Regulatory Commission without application of mind dismissed the whole case. Since the UPPCL had failed to supply the assured power, there was no question of

levying 15% additional surcharge on the bill. This aspect was not considered by the Regulatory Commission. In these circumstances, the appellant has prayed for setting aside the order in question.

31. By filing counter-affidavit on behalf of the respondents, Mr. Kapil Dev Shukla, the then Executive Engineer, EUDD-II, U.P. Power Corporation Limited, Azamgarh has reiterated the averments of the counter-affidavit filed by Mr. Rajesh Kumar Gupta in First Appeal No. 75 of 2002.

M/s. Swarpp Castings Private Limited

32. By means of F.A.F.O. No. 575 of



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2003, M/s. Swarup Castings Private Limited, a factory situated at village Salarpur, District Muzaffarnagar and which deals in manufacturing of various types of melting furnace and induction furnace products, has challenged the order dated September 11, 2003, passed by the Regulatory Commission, whereby the latter had dismissed the reference petition, inter alia on the ground that after the final decision rendered by High Court in Civil Misc. Writ Petition No. 40692 of 2000, *L.M.L. Limited v. State of U.P.*, it had no jurisdiction to hear the matter and make any comment on the issue.

33. The facts giving rise to the instant appeal are that pursuant to an agreement entered into on February 3, 1995, the appellant consumer had obtained a sanctioned load of about 2200-KVA on an independent feeder of 132-KV Sub-station, although it is now a non-continuous category (HV-1) consumer under the new tariff of 2001-2002 with effect from 24-9-2001. It is pleaded by the appellant that pursuant to the Circular dated September 8, 2000 issued by the Power Corporation, it exercised its option of not insisting on an assured supply of 500 hours vide its letter dated September 19, 2000. This option was duly accepted and acted upon by the UPPCL and thereby 15% additional surcharge was not levied against the appellant-consumer. It was only after the Lohia Machines judgment that the UPPCL issued a Circular dated 31-8-2001 and levied 15% surcharge for the period August, 2000 to September 15, 2001 vide supplementary electricity bills. Being aggrieved of this order dated 31-8-2001; the appellant-consumer approached the Regulatory Commission through a petition under Regulations 24 and 144 of the U.P. Electricity Regulatory Commission (Conduct of Business) Regulations 2000, read with Sections 24, 26 and 27 of the State Act, 1999. However, the consumer's petition was dismissed vide order under appeal. It has been

contended that the impugned order has been passed without affording adequate opportunity of being heard to the appellant-consumer. The merit of the case was not at all discussed by the Commission. The UPPCL had itself in its short counter-affidavit filed before the Regulatory Commission averred that the Circulars dated September 8 and December 15, 2000 were issued pursuant to the deliberations with the Regulatory Commission. In other words, the said Circulars were impliedly approved by the respondent No. 3. This very important fact was not considered by the Regulatory Commission while dismissing the petition. The Regulatory Commission had also failed to appreciate that it was due to the licensee's operational and technical difficulties of giving guaranteed supply of power that levy of 15% surcharge was abolished for the year 2001-2002. The Commission had further erred in not appreciating that the judgment of this Court in *L.M.L.'s* case related to another licensee, namely, Kanpur Electric Supply Company (KESCO) and the petitioner of the said case was the consumer thereof and the Circular issued by the respondent No. 1 had no concern with another licensee like KESCO and as such the observations made by the High Court in *L.M.L.'s* case (2001 All LJ 2520), cannot be said to be binding on any other consumer, much less the present appellant-consumer. The Regulatory Commission has not given a thought to the legal plea that the respondents were estopped to resile from the promises, made in the Circulars dated 18-9-2000 and 15-12-2000 by virtue of the principle of promissory estoppel or the principle analogous thereto. It is further stated that the Circular of December 15, 2000 was not placed before the Regulatory Commission for its perusal. It was only the Circular dated 8-9-2000 that was held to be inoperative under the impression that it could not get the assent of the Regulatory Commission. All that observed by this Court was that the Power Corporation had no opportunity to alter the tariff without approval of the Regulatory Commission. In any case, the licensee cannot be said to have rightly proceeded with levy of 15% already waived surcharge and issue of the supplementary bill. It has also been pleaded that the appellant-consumer had acted to its detriment by reducing the prices of its components subsequent to the waiver of surcharge by the licensee and at this stage when much water had flown, the respondents cannot either on the



strength of the Circular of August 31, 2001 or in view of this Court's judgment in *L.M.L.'s* case proceed to realize 15% surcharge. Besides, justifiability of the waiver of the onerous burden cast on the consumers

led to the abolition of this surcharge in the tariff for the year 2001-2002 which has been approved by the Commission. In other words, the Commission had put its imprimatur on the said waiver of surcharge by allowing impliedly the Circulars dated September 8 and December 15, 2000 giving option to the consumers to either opt for the assured supply of power or not. These Circulars were in conformity with the scheme of the relevant statutory provisions. Silence on the part of the Commission upon receipt of copies of the Circulars can justifiably be interpreted as its unspoken approval. In any case, demand/realisation of additional surcharge of 15% retrospectively which had already been waived of, is contrary to the licensee's commitment, and therefore, it is liable to be set aside.

34. Mr. O.P.S. Tomar, the then Executive Engineer, EUDD-II, Patel Nagar, Muzaffarnagar filed an affidavit along with the application for vacation of stay order, inter alia mentioning therein that the issue of 15% additional surcharge has already been finally decided by the Division Bench of this Court at Allahabad in *L.M.L.'s case* (2001 All LJ 2520). In other words, the opposite Parties' contention is that since the issue in question has already been dealt with and decided by this Court in the above-mentioned case, the appellants cannot raise again the same point in this Court.

M/s. Ram Ganga Cement (Pvt.) Limited

35. Now we take up the First Appeal from Order No. 570 of 2003, filed by M/s. Ram Ganga Cement (Pvt.) Limited. This company is situated at Shahabad Road, Bilari, District Moradabad. It preferred this appeal against the dismissal order dated 11-9-2003, passed by the Regulatory Commission on the basis of the Lohia Machines decision, rendered by the High Court. The facts and grounds taken in this appeal are almost similar to those enumerated in the above-mentioned F.A.F.O. No. 575 of 2003. The present appellant's factory too produces melting furnace and induction furnace. This appellant's unit is also based on an independent feeder. It had exercised its option not to insist on an assured supply of power of 500 hours. However, the licensee had imposed additional surcharge and issued enhanced bills which were challenged before the Regulatory Commission. However, the latter rejected the appellant's case by means of its order under appeal. This order of the Commission has been levelled as illegal and passed without considering the true facts put forth by the appellant-company.

36. By filing a counter-affidavit, Mr. V.P. Singh, Executive Engineer (Revenue), Electricity Distribution, Division-I, U.P. Power Corporation Limited, Moradabad, as he then was, placed some additional features before this Court. It has been alleged that the Regulatory Commission,

vide its interim order dated 7-1-2003, directed the appellant-consumer to deposit 30% of the impugned demand, i.e. Rs. 12.72 lacs. The appellant-consumer had furnished a bank guarantee for Rs. 12.72 lacs, issued by the State Bank of India, Civil Lines, Moradabad. This Court too in the present appeal has passed an interim order dated 29-9-2003 directing the appellant-consumer to deposit a sum of Rs. 12.00 lacs with the UPPCL. However, the appellant-consumer instead of complying with the order, had opted for permanent disconnection of power. A final bill amounting to Rs. 65,56,902.00 was issued against the appellant. Surcharge at the rate of 15% for power consumption through independent feeder was also levied in the bill.

ITI Limited, Mankapur

37. In First Appeal No. 120 of 2003, ITI Limited, Mankapur, District Gonda, engaged in the manufacturing of Electronic Exchange for supply and installation all over the country, has prayed for quashing the order dated September 11, 2003, passed by the U.P. Electricity Regulatory Commission. By this order, the Regulatory Commission has dismissed by a common judgment the clarification application moved by the appellant-consumer and some others simply on the ground that the matter has already been decided by the High Court in *L.M.L.'s* case (2001 All LJ 2520).

38. Briefly stated, the facts of the case are



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that the appellant-company is a government company having its registered office at Bangalore. The electric supply to the factory is given during normal hours and peak/restricted hours from 132-KV Sub-station, Mankapur by an independent feeder, constructed at the cost of the company. Such a supply is charged under HV-2 category. It has been stated that the Regulatory Commission had issued tariff order dated July 27, 2000 containing the rate schedule for large and heavy industries. It was categorically provided that for using the power during peak hours, 15% surcharge on the amount of bill was to be paid in a month and nothing else was required to be billed. The Commission had observed that the electricity rates for industries in the State of U.P. are quite high and sharp increase in the rates will be counter-productive. Keeping this in view, the Commission had increased the demand and energy charges only by 5%. However, this chart provided in the tariff order, postulates otherwise. It mentions two categories of billing — one that the consumers getting supply of power in restricted hours are liable to pay 15% surcharge on demand and energy charges and the other were those consumers who were getting supply through

independent feeders emanating from 400/220/132 KV-Sub-stations. They were proposed to be levied with an additional 15% surcharge on the condition of assured power supply for minimum 500 hours in a month. In case of short fall, a rebate at the rate of 1% per 10 hours was admissible on the total amount computed under "Rate of Charge". Vide Circular dated 9-8-2000, the licensee published its rate schedule, in terms of above, making it effective from 9-8-2000. This rate schedule has been pleaded by the appellant-consumer to have been issued against the intent of the Commission as only 15% surcharge was to be levied on the consumers having independent feeders and using power during peak/restricted hours. It has been stated further that the appellant-company was levied only 15% additional surcharge for quite some time for consuming power from independent feeder as also in restricted hours. However, all of a sudden the licensee was required to pay some arrears at the rate of 30% surcharge on the count of using power firstly from independent feeder and the other during peak hours. This demand by the UPPCL has been phrased to be as illegal and against the tariff order. Consequently, the appellant-consumer filed an Application/Petition No. 8 of 2003 before the Regulatory Commission challenging the aforesaid illegal demand of surcharge. The company also sought clarification of the tariff order dated 27-7-2000. However, the Regulatory Commission had dismissed the petition vide its order in question on the ground that after the Lohia Machines judgment, the Commission had no power to re-examine the already decided issue by the High Court. It has been pleaded that this order has been passed with complete non-application of mind. The Commission had not considered the stand of the company that it had never opted for guaranteed supply of power for 500 hours. It had also not dealt with the very important point raised by the appellant-consumer to the effect that in case there is a variation between the narration of facts and the column graphs/charts as depicted in the tariff order, issued by the Commission, it is the narration of facts which have to be relied upon for assessing the true intention of the words. However, the Commission by adopting the short-cut method dismissed the petition by a common judgment on the basis of the decision in *L.M.L.'s case* (2001 All LJ 2520). In this way, the appellant-consumer has sought quashing of the order dated 11-9-2003, passed by the Regulatory Commission.

39. Mr. R.C. Jain, the then Assistant Engineer, EDD, U.P. Power Corporation Limited, Gonda has filed an affidavit, sworn on October 15, 2003. The order dated 11-9-2003, passed by the Regulatory Commission has been stated to be validly passed as it had no jurisdiction to interfere in the matter after the *L.M.L.'s* decision of the High Court which is binding on the Regulatory Commission.

M/s. Diamond Cements, Jhansi

40. Another First Appeal No. 116 of 2003 has been filed by M/s. Diamond Cements, Jhansi against the U.P. Power Corporation's authorities challenging the order dated 11-9-2003, passed by the Regulatory Commission.



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The appellant-consumer gets power supply from independent feeder emanating from 132-KVA Sub-station. The factory opted for using power in restricted/peak hours and agreed to pay an additional surcharge of 15% for the purpose but did not go for the assured supply of 500 hours in a month and as such denied to pay 15% additional surcharge on this count but after the circular orders dated 8-9-2000 and 15-12-2000 were cancelled by the UPPCL vide its order dated 31-8-2001, a consequential bill/notice dated 17-9-2001 for a sum of Rs. 1,31,94,445/- has been issued in respect of additional 15% surcharge on demand and energy charges for getting supply on independent feeder from 9-8-2000 to August, 2001. It has been pleaded by the appellant that the Circulars dated 8-9-2000 and 15-12-2000 issued by the UPPCL had the approval of the Regulatory Commission, as mentioned in the Circular dated 31-8-2001 itself, whereby the former had cancelled these two Circulars and imposed on bills 15% additional surcharge for use of power from independent feeder. Therefore, in view of the Regulation 128(2) of the Regulations, framed under Section 52 of the Electricity Regulatory Commission Act, 1998, read with U.P. Electricity Reforms Act, 1999, these two Circulars of the year 2000 are binding upon the Corporation. The Circulars dated 8-9-2000 and 15-12-2000 do not vary the tariff framed by the Regulatory Commission as the UPPCL had simply given to its consumers certain benefits through these Circulars and now the Power Corporation cannot turn back and levy 15% additional surcharge against the appellant getting power under HV-2 category as it is barred by the law of promissory estoppel. It is further pleaded that since the appellant-consumer had acted upon the two Circulars, issued by the Power Corporation, by exercising its option, as aforesaid, it is binding on the latter till it is withdrawn and such withdrawal can be made applicable only with prospective effect and not retrospectively. This very important aspect of the matter was not dealt with by the Commission. In addition to it, the fact that the impugned Notifications dated 8-9-2000 and 15-12-2000 were issued with the concurrence of the Regulatory Commission escaped from the attention of the High Court while deciding Writ Petition No. 40692 and thus the judgment rendered in the said petition is per incuriam and

does not apply in case of the appellant-consumer. On these grounds, the appellant-consumer has prayed for setting aside the judgment and order dated 11-9-2003 under appeal.

41. Mr. Daya Ram Vimlesh, the then Executive Engineer, E.D.D.-II, Jhansi has filed his counter-affidavit on behalf of the respondents. It has been pleaded that the High Court in *L.M.L.'s* case has held the options sought by the UPPCL by means of Circulars dated 8-9-2000 and 15-12-2000 to be void as it is a clear alteration of the approved tariff which is not permissible in law. It has been further contended that these Circulars insofar as they are inconsistent with the tariff approved by the Commission are void and wholly inoperative in law. The order dated 31-8-2001 withdrawing the two Circulars of 2000 was issued in pursuance of the judgment and order rendered in *L.M.L.'s* case and consequently the bill for 15% additional surcharge was issued against the appellant-consumer.

42. The appellant-consumer in rebuttal of the averments made in the counter-affidavit has reiterated its version put forth by it in this appeal. It is needless to restate the same.

M/s. Rama Paper Mills Limited

43. M/s. Rama Paper Mills Limited, a company registered under the Companies Act, 1956, having its registered office and works at Kiratpur, Bijnor, has filed F.A.F.O. No. 575 of 2002 through its Manager (Finance) Sri V.K. Bansal, challenging the order dated 12-9-2002, passed by the Regulatory Commission, and the Circular of August 31, 2001, issued by the UPPCL, all bills raised and demands made pursuant thereto, whereby a demand of 15% surcharge with interest thereon was made.

44. Briefly stated, the facts of the case giving rise to the instant appeal are that the appellant-consumer engaged in the manufacture of paper and allied products has a sanctioned load of about 3000-KVA on an independent feeder. In pursuance to the same Circular as relied in all the above appeals, this appellant-consumer too exercised its option of not insisting



on a guaranteed supply of 500 hours vide its letter dated September 19, 2000. This option was accepted and acted upon by the respondents. However, after the Lohia Machines decision, the UPPCL issued a Circular dated 31-8-2001 and levied surcharge of 15% for the period from August, 2000 to September 15, 2001. Dissatisfied with and aggrieved with the said order, the appellant-consumer filed a petition

before the UPERC under Regulations 24 and 144, read with Sections 24, 26 and 27 of the State Act, 1999. However, the UPERC declined to pass any order, inter alia, on the ground that it was open for the parties to approach the High Court for appropriate orders. It has been submitted that the consumer-appellant was not afforded adequate opportunity of being heard. Further the order passed by the Commission is meritless. The Regulatory Commission while deciding the petition had not considered the relevant provisions of U.P. Electricity Regulatory Commission (Conduct of Business) Regulations, 2000, the U.P. Electricity Reforms Act, 1999 and the Electricity Regulatory Commissions Act, 1998. The Circulars of September 8 and December 15, 2000 were issued after deliberations, as averred on oath by the UPPCL in its counter-affidavit, with the Regulatory Commission. It is further submitted that since the aforesaid Circulars of 2000 were sent to the Regulatory Commission, it will be presumed that the Regulatory Commission impliedly had given its approval therefor. It has been further contended on behalf of the appellant-consumer that the observations of this Court in *L.M.L.'s case* are applicable/binding only to L.M.L. and KESCO, i.e. the parties to the litigation and not any other consumer like the present appellant-consumer. It is also vehemently pleaded that even if the judgment in *L.M.L.'s case* applies to the consumers at large, it is not open to the UPPCL to reopen, raise and realize/recover 15% surcharge. The High Court had nowhere given a blanket permission to the Corporation to raise such demand. In any event, an attempt to recover a tax or penalty including a surcharge retrospectively is contrary to law and any action in this regard is liable to be prevented. On these grounds, the appellant-consumer has prayed for setting aside the orders under challenge.

45. Mr. Akhil Mehrotra, the then Assistant Engineer (Revenue), Electricity Distribution Division, U.P. Power Corporation Limited, Bijnor has filed counter-affidavit on behalf of the respondents. It has been submitted that the order dated 31-8-2001, issued by the UPPCL has been passed in pursuance of the decision in *L.M.L.'s case* (2001 All LJ 2520) and in consequence thereto, the bills were raised and further that the Regulatory Commission had declined to interfere in the matter and as such, the appeal is not maintainable being misconceived and baseless. In regard to the exemption of surcharge of 15% by the Regulatory Commission for the year 2001-2002, it has been submitted that the present dispute of the bill is for the period from August 2000 to September 15, 2001 and the tariff for the year 2001-2002 has nothing to do with the controversy involved in the present appeal. There was no question left for the Regulatory Commission to deal after the decision rendered in *L.M.L.'s case* and this Court too has no jurisdiction to interfere in the present appeal when the matter has

already been decided by another Division Bench of this Court in *L.M.L.'s* case. In these circumstances, the appeal having no force deserves to be dismissed with costs.

46. Mr. Ramesh Chand Gupta, the then Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Bijnor has also filed a supplementary affidavit on behalf of UPPCL and denied the averment of the present appellant-consumer that the former did not supply minimum assured power, i.e. 500 hours in a month. It is stated that for the period in question, the supply in every month was more than 500 hours. In support of this contention, the answering respondent has filed along with the affidavit details of supply made to the appellant-consumer between August 2000 to September 2001. Further the appellant-consumer also consumed electricity during restricted hours.

M/s. Badri Kedar Papers Pvt. Ltd.

47. At last, we take up Writ Petition No. 7279(M/B) of 2002, *Badri Kedar Paper*



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Pvt. Ltd. v. U.P. Electricity Regulatory Commission, whereby the validity of the circular letter dated August 31, 2001, issued by the U.P. Power Corporation has been questioned. By the said Circular, the Corporation had withdrawn its earlier Circulars dated 8-9-2000 and 15-12-2000 whereby exemption of 15% surcharge by way of concession for not raising demand for guaranteed supply of power for 500 hours in a month was granted. A demand notice dated October 18, 2002 directing the appellant-consumer to deposit Rs. 21,13,032/- was also issued. The petitioners had earlier approached this Court for the similar cause by way of First Appeal No. 653 of 2002. However, they did not press the appeal at the preliminary stage and consequently, it was dismissed as not pressed.

48. The sequence of events leading to filing of the instant writ petition can precisely be narrated as under:

The petitioner is a private limited company, registered under the Companies Act and consuming electric power through independent feeder connected with 132-KVA. It entered into an agreement with the then U.P. Electricity Board, now the UPPCL for supply of power through independent feeder. Clause 4 of the Rate Schedule provides an additional surcharge of 15% on demand of energy to be levied on the consumers getting supply through independent feeder emanating from 440/220/132-KVA Sub-stations and who desired a

guaranteed supply of minimum 500 hours in a month. In this context, the U.P. Power Corporation issued Circulars dated 8-9-2000 and 15-12-2000. In pursuance of these Circulars, the petitioner-company opted for not using assured power for 500 hours during a month, and therefore, it was not liable to pay 15% surcharge. However, the licensee issued the impugned Circular dated August 31, 2001 and thereby cancelled its earlier circulars of 2000 on the mere pretext of the judgment rendered by this Court in *L.M.L.'s* case and demanded 15% additional surcharge from the petitioner-company.

49. It has been pleaded on behalf of the petitioner that once it exercised its option of not consuming the assured supply for 500 hours, as aforesaid, which was accepted by the UPPCL, there was no question of retracting by the licensee and demanding raised bill merely on the basis of some observations of the High Court in *L.M.L.'s* case (2001 All LJ 2520). It has been supplemented further that the judgment rendered in *L.M.L.'s* case is not binding upon the petitioner as it was between the Kanpur Electricity Supply Corporation, another licensee and the Lohia Machines. In other words, the petitioner was not a party to the writ petition. It has been further added that since the Circular under challenge fastens a financial liability on the petitioner-company, it cannot be applied retrospectively. The defence of application of the principle of promissory estoppel upon the licensee has also been taken recourse to. Challenging this Circular, the petitioner-company and some others filed a reference petition before the Regulatory Commission which too was dismissed by a common order by the latter without going through the merit of each case. The Commission had observed that after the decision in *L.M.L.'s* case, it had no power to entertain the petition. This approach has been termed to be as illegal.

50. A counter-affidavit has been filed by Mr. Shankar Lal Gupta, Executive Engineer, Electricity Distribution Division, U.P. Power Corporation Limited, Ajmal Khan Road, Najibabad, Bijnore on behalf of opposite parties 2 and 3 giving parawise reply to the writ petition. It has been submitted that this petition is not maintainable as the controversy has already been brushed aside by this Court in Writ Petition No. 40692 of 2000. Unless the said decision is interfered with or set aside by the Apex Court, there is no justification for the petitioner to challenge the Circular dated 31-8-2001 again in the writ petition in hand. The answering opposite party has termed the bills having been rightly issued by the Corporation. It is further pleaded that since the Circular in question was notified in violation of the relevant provisions of the Act, the UPPCL was right in its move to withdraw it and demand for recovery of the outstanding amount. In reply to the contents of paragraphs 20 and 21. it is inter alia submitted that there



is no question of the Circular dated 31-8-2001 having retrospective operation. It is the amount under the Tariff Rate Schedule which was sought to be recovered through the impugned Circular. Besides, without following the procedure as contemplated under the Reforms Act, 1999, there cannot be any change in the rate schedule even by the Commission and as such the reference too was not maintainable at all. The decision taken by the impugned order is totally just and proper and as such, the writ petition having no merit deserves to be dismissed with cost.

51. We have heard learned counsel for the parties.

52. The main issue to be determined in these appeals and the sole writ petition is as to whether the circulars dated 8-9-2000 and 15-12-2000 were in consonance with the provisions of U.P. Electricity Reforms Act, 1999 and the Regulations framed thereunder.

53. Whereas it has been submitted on behalf of the appellants and the writ petitioner both that the above-referred Circulars were validly issued by the U.P.P.C.L. the respondents have contended with reference to the L.M.L. 's case that both the Circulars were otiose — having been issued without the approval of the Regulatory Commission. We would deal with both these respective contentions simultaneously as these are two aspects of the same issue. However, it seems to be significant to note that prior to the enactment of U.P. Electricity Reforms Act, 1999, three important provisions pertaining to generation, determination of tariff and supply of electricity in the State of U.P. were governed by the provisions of Indian Electricity Act, 1910 and Electricity (Supply) Act, 1948. The U.P. State Electricity Board was functional under the above Act of 1948 and the said Board was the sole in-charge and authority to execute the three functions of generation, fixation of tariff and power supply throughout the State. In order to improve the tariff-system, the Electricity Regulatory Commission Act was enacted in 1998 (Act No. 14 of 1998). The U.P. State Regulatory Commission was established under the provisions of the Central Act of 1998 and it continued to operate until 14-1-2000. In the meantime, the U.P. Electricity Reforms Act, 1999 came into force with effect from 7-7-1999. Under this Act, three different Corporations were constituted in the State of U.P. for the three important works of generation, determination of tariff and power supply. Precisely, they are as follows:

1. Kanpur Electricity Supply Company (KESCO) for Kanpur.
2. Noida Power Company Limited for Noida. (NPCL).

3. Uttar Pradesh Power Corporation Limited (UPPCL).

54. As suggested by their names, the first two Corporations, namely KESCO and NPCL were confined to Kanpur and Noida regions only while rest of the areas are governed by UPPCL. In these appeals and the writ petition, we are concerned with UPPCL and the UPERC constituted under Section 3 of the Act, 1999.

55. On May 1, 2000, the UPPCL submitted a petition before the UPERC for Aggregate Revenue Requirement (ARR) and tariff determination for different categories of consumers. The following charges were approved:

		UPERC As Approved
1	Demand Charge PLUS	130
2	Energy Charge	390
3	For consumers getting power supply in Restricted hours	15% surcharge on demand and energy charges
4	For consumers getting power supply on independent feeders emanating from 400/220/132-KV	15% surcharge on demand and energy charges and have the assured supply of minimum 500 hours in a month. In case of shortfall in the guaranteed hours of the supply, a rebate at the rate of 1% per ten hours or part thereof shall be admissible on the total amount as computed under rate of charge.

56. A controversy arose after notification dated 8-9-2000 was issued, whereby the options were invited from the industries about their need of power on independent feeders. As is evident from column No. 4 of the tariff plus surcharge described in the block reproduced



above, if an industry having an independent feeder emanating from 400/220/132 IV Sub-station did not wish to have assured supply of minimum 500 hours in a month, it could inform the authority and if such an intimation is received in time, no liability of 15% surcharge would be fastened upon such consumer. However, if somebody needed assured supply of power for minimum 500 hours in a month, shortfall, if any, in the guaranteed hours of supply will be compensated with a rebate at the rate of 1% per 10 hours or part thereof. Many consumers

informed the authorities concerned that they did not want to avail of the power supply for a minimum of 500 hours in a month. By virtue of Circular dated 15-12-2000, the Chief General Manager of U.P. Power Corporation Limited asked the consumers to inform about their option up to 31-12-2000, whereafter such option will not be exercisable. It was also clarified that the surcharge would not be leviable with effect from 7-8-2000 if option of not needing 500 hours supply in a month was exercised up to 31-12-2000.

57. The consumers as per their need exercised the option but in the meantime, a Civil Misc. Writ Petition No. 40692 of 2000 was filed before this Court at Allahabad by L.M.L. Limited and a prayer was pressed into service for quashing of demand of surcharge of 15%, leviable for power consumption during restricted hours. The said petition was dismissed on the ground that the Circular dated 8-9-2000, issued by UPPCL giving additional benefit to consumers was inconsistent with tariff approved by the Commission and was thus void and wholly inoperative in law. It is contended on behalf of the respondents that the said judgment lays down a principle of law and the said decision has to be followed by this Division Bench. On the other hand, learned counsel for the appellants and the petitioner, relying upon the plea that the said judgment is per incuriam and not applicable to the present cases as the other kind of surcharge relating to independent feeder with an assured supply of minimum 500 hours was not the issue involved in *L.M.L.'s case* (2001 All LJ 2520).

58. Before we scrutinise the legal aspects of the issue with implications of the above-said decision, we would like to make reference to the relevant legal provisions pertaining to determination of the tariff.

59. Under U.P. Electricity Reforms Act, 1999, UPPCL was constituted and as is envisaged, this Corporation was constituted as a company under the Companies Act for the purpose of procurement, transmission and supply of electricity. The Power Corporation is authorised to undertake planning and coordination in regard to transmission and will also determine the electricity reforms in the State in consultation with the generating companies, the State Government contiguous States, the Commission, the Regional Electricity Board, the Central Electricity Regulatory Commission and the Central Electricity Authority. Under sub-clause (3) of Section 13, the Power Corporation shall be provisional licensee for transmission and supply of electricity within the State until the grant of licence by the Commission.

60. Section 14 of the Reforms Act, 1999 prohibits a person from engaging himself in the business of transmission unless he holds a valid licence. Section 15 of the said Act authorises the UPREC

constituted under Section 3 of the Act to grant a licence authorising any person for transmission/supply of electricity, or both in an area of transmission or supply, or both, as the case may be. A licence may prescribe the extent to which, and the terms and conditions under which the transmission or supply of electricity is to be made. The Commission may also impose such terms and conditions as it may consider appropriate for achieving the objects of this Act.

61. The licensee under the provisions of Section 17 of the Reforms Act, 1999 is under an obligation to develop and maintain an efficient, coordinated and economical system of electricity transmission or supply.

62. Section 24 of the Reforms Act is very important from our point of view. It lays down, inter alia, provisions for determination of tariffs. Since all provisions are significantly attracted towards the issue involved for determination before us, we consider it appropriate



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to quote the said Section as below:

24. Licensee's revenues and tariffs.— (1) The licensee shall follow the procedure specified in the regulations in calculating the expected revenue from charges which he is permitted to recover and in determining tariffs.

(2) Save as provided in sub-section (3), the Commission may specify in regulations the terms and conditions for the determination of the revenue and tariffs and, in doing so, the Commission shall be guided by the following, namely:

(a) the financial principles and their application provided in Sections 46, 57 and 57-A of the Electricity (Supply) Act, 1948 and in the Sixth Schedule thereto;

(b) the factors which would encourage efficiency, economical use of the resources, good performance, optimum investments, observance of the conditions of the licence and other matters which the Commission may consider appropriate for the purpose of this Act; and

(c) the interest of the consumers.

(3) Where the Commission departs from the facts specified in Clauses (a) to (c) of sub section (2), it shall record the reasons for such departure.

(4)(a) Every licensee shall provide to the commission at such time and in such manner as may be provided by the regulation, full details of its calculation for the ensuing financial year of

the expected revenue from charges which it believes to have been permitted to recover and thereafter it shall also furnish such further information as the Commission may reasonably require to assess the licensee's calculation.

- (b) the licensee shall also publish, within three days of submission of his proposal for the tariff for the ensuing year, a notice in at least two daily newspapers, widely circulating in the area of supply, outlining the proposed tariff and calling for objections from the interested persons and the State Government.
- (c) the Commission while determining the tariff shall also take into consideration the objections, if any, received within one month from the date of last publication of the notice referred to in clause (b).
- (5) The Commission shall, within ninety days from the date on which the licensee has furnished the information under sub-section (4), give notice to the licensee that it—
 - (a) accepts the licensee's calculations; or
 - (b) does not consider the licensee's calculations to be in accordance with the procedure given in the licence or considers that it is otherwise incorrect, specifying the reasons therefor and proposing modifications or alternative calculations.
- (6) The Commission may, after notifying its decision on the licensee's calculations as provided in sub-section (5), determine whether the tariff charged by the licensee is required to be modified, and if so, require the licensee to modify the tariff or any part thereof with immediate effect.
- (7) Each holder of a supply licence shall publish in at least two daily newspapers, widely circulating in the area of supply, and make available to the public on request, the tariff for the electricity within its area of supply and such tariff shall come into force after seven days from the last date of such publication, and any tariff implemented under this section,—
 - (a) shall not show any preference or favour to any consumer of electricity but may differentiate on the ground of the consumer's load factor or purpose of use or power factor, the consumer's total consumption of electricity during any specified period, or the time during which the supply is required;
 - (b) shall be just and reasonable and be such as to promote economy and efficiency in the supply and consumption of electricity; and

- (c) shall accord with all other relevant provisions of this Act and the conditions of licence.
- (8) Tariff shall not be determined more than once in a financial year except in respect of any changes expressly permissible under the terms of any fuel surcharge formula as may be provided by regulations. At least one hundred days before the proposed date for implementation of any tariff, the licensee shall provide details of the proposed tariff to the Commission, together with such further information



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as the Commission may require with a view to determining whether the proposed tariff is in accordance with sub-section (7). If the Commission considers that the proposed tariff of a licensee does not fulfil any one or more of the requirements of sub-section (7), it shall, within ninety days of receipt of all the information which it required, and after consultation with the Electricity Advisory Committee constituted under Section 29, and the licensee, inform the licensee that the tariff is not acceptable to the Commission, and it shall provide to the licensee an alternative tariff which shall be implemented by the licensee. The licensee shall not implement any tariff unless it has been approved by the Commission.

- (9) Notwithstanding anything contained in Sections 57-A and 57-B of the Electricity (Supply) Act, 1948, no "Rating Committee" shall be constituted after the commencement of this Act and the Commission shall ensure compliance of the terms and conditions of the licence by the licensee in relation to charges for the sale of electricity, both wholesale and retail, and for the connection to and use of, their assets or systems in accordance with the provisions of this Act."

63. A careful perusal of the above statutory provisions would reveal that while determining the tariff, the Regulatory Commission will invite proposals from the licensee and objections from the consumers after getting the proposed tariff notified in the two daily newspapers of wide circulation. The Commission may then accept the calculations or may not accept the same as being not in accordance with the requisite provisions. It may also specify reasons for proposed modifications or alternative calculations. If the proposals are accepted, the Regulatory Commission may determine the tariff and shall publish the same again in two daily newspapers having wide circulation in the area of supply and such tariff shall come into force after seven days from the last date of such publication.

64. It is important to note that the tariff shall not be determined more than once in a Financial year except in respect of any changes expressly permissible under the terms of fuel surcharge formula (not applicable here). It is further important to mention that the licensee shall not implement any tariff unless it has been approved by the Commission.

65. Tariff means a schedule of standard prices or charges for specified services which are applicable to all such specified services, provided to the category or categories of extremes specified in the "tariff". Undisputedly, the surcharge levied either for power consumption on independent feeder with assured supply of minimum 500 hours or surcharge for power consumption during restricted hours forms part of the "tariff". We may lay emphasis upon the statutory provisions referred to above and hold that the Regulatory Commission — repeat — the Commission alone is competent to determine the tariff or amend, alter, review or substitute the same and it has to be done only once a year. This point of view is fortified from the provisions of Regulations 121 and 124 to 130 of U.P. Electricity Regulatory Commission (Conduct of Business) Regulations, 2000, as framed under Section 52 of the Reforms Act. Regulation 121 provides that the Regulatory Commission may provide methodologies and procedures to the licensees for calculating the expected revenue from charge, and for determining the tariff. The Commission is also competent, at any time, to add, amend, alter, revise or substitute such methodologies and procedures.

66. According to Regulation 124, each licensee shall furnish every year between 15th December to 31st December the expected aggregate revenue for the ensuing financial year and the expected cost of providing services. The Commission may also from time to time issue guidelines for filing such statement of revenue calculations and tariff proposals. While taking stock of the entire situation of aggregate revenue and tariff proposals, the Commission may grant audience to such persons as the Commission may consider appropriate.

67. Regulation 127 postulates that the Commission shall make a final order and notify the licensee of its decision on the revenue calculations and tariff proposals, as provided

in sub-section (5) of Section 24 of the Act. The Regulatory Commission may then notify the tariff which the licensee shall charge from different categories in the ensuing financial year. Regulation 128 reiterates the provisions of Section 24 regarding calculation of the revenue and tariff as also the publication of the proposals and tariff. Amendment, if any,

in the tariff can be made only once as provided under sub-section (8) of Section 24; and we have already referred to sub-section (8) of Section 24 which provides in unambiguous terms that no amendment would be permissible unless expressly sanctioned.

68. It is pertinent to note that sub-section (8) clearly lays down that tariff shall not be determined more than once in a financial year except in respect of any charges expressly permissible under the terms of any fuel surcharge formula as may be provided by the Regulations. In the cases in hand, no fuel surcharge formula has been pressed into service. The last sentence of sub-section (8) of Section 24 is very important and the same may be reproduced again with a view to arrive at a clinching conclusion. It reads as follows:

“.....the licensee shall not implement any tariff unless it has been approved by the Commission.”

69. As said above, the tariff includes charge or any surcharge, permitted by the Commission. Any proposal for implementation of additional surcharge or non-implementation of the approved tariff including surcharge is not permissible unless the Regulatory Commission has approved it in accordance with the procedure laid down in Section 24. This proposition of law is as clear as a crystal and it leaves no room for doubt that a licensee is not authorised by any stretch of imagination to either add or subtract the “tariff” determined by the Regulatory Commission.

70. If we put the Circulars dated 8-9-2000 and 15-12-2000 on the touchstone of the aforesaid proposition of law, the answer will be prompt to figure that the UPPCL was absolutely incompetent to have issued these two notifications. There is no order of the Regulatory Commission whereby it might have approved the proposal of 15% surcharge as not recoverable in case a consumer opted for not availing the 500 hours assured power supply on an independent feeder. Also there was no proposal or its acceptance by the Commission to dispense with the prescribed surcharge of 15% on power consumption during restricted hours.

71. Learned counsel for the appellants contended that the Circular dated 8-9-2000 was issued by the UPPCL in consultation with UPERC and the latter had never raised any objection nor disputed the issuance of the aforesaid Circular. The UPERC also did not dispute the communication letters dated 11-6-2001 and 24-8-2001 nor the Commission had taken any action against the UPPCL authorities for deviating from the notified tariff. It was also supplemented that the issue was discussed by the authorities of the UPPCL with the members of UPERC and it was only after the discussions held between the authorities of the two organisations that the Circular dated 8-9-2000

was issued. In this context, reference was made to the recitals of a letter dated 11-6-2001, written by the Chairman and Managing Director of the UPPCL to the Secretary, U.P. Electricity Regulatory Commission, Lucknow. The Managing Director, making a reference to this High Court's decision in *L.M.L.'s case* (2001 All LJ 2520) mentioned that the Circular dated 8-9-2000, extending the facility of an option to avail or not to avail minimum 500 hours assured supply was issued subsequent to the detailed discussions held with the Commission as well as the then Pramukh Sachiv, Energy Department. In this context, it may be observed that any discussion with the Principal Secretary of the department is of no avail unless he is the member of the Regulatory Commission; and even if he is the member of the Commission, he cannot be the sole authority to take a decision regarding amendment of the tariff. As far as the discussion with the commission is concerned, no details about such meeting held for discussions have been furnished. Neither the date for such discussions is specifically given nor it is disclosed as to who were the members of the Commission present in the meeting convened for the purpose of



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holding deliberations on the issue. It is also a question mark as to whether the minutes of such discussions or resolution passed by the members were recorded or not. At least, such minutes have not been produced for perusal of this Court and as said above, holding deliberations or formal or informal discussions about the abolition of surcharge or making the recovery optional is meaningless as the procedure prescribed for determination of tariff or amendment thereof is clearly laid down for being followed in Section 4 of the Reforms Act. Any proposal for tariff made by the licensee has to get through the prescribed procedure of being notified in the two daily newspapers of wide circulation in the concerned area and after consideration of the objections filed, if any, the Regulatory Commission is to notify the tariff. Sub-section (5) of Section 24 empowers the Regulatory Commission to accept the licensee's calculations and sub-section (6) authorises it to make modification, if any. Then sub-section (7) makes it obligatory for the licensee to notify the prescribed tariff. Sub-section (8) may provide for some change expressly permissible under the terms of any fuel surcharge formula and this very sub-section levies an embargo to the effect that the licensee shall not implement any tariff unless it has been approved by the Commission.

72. The appellants or the petitioner, as the case may be, could not

establish before this Court that the procedure prescribed from sub-section (5) to sub-section (8) of Section 24 were followed prior to issuance of the Circular letter dated 8-9-2000. The Regulatory Commission is also a party to these appeals and the Commission has refuted the claim of any such deliberations having been held. The Commission has rejected any such suggestion to be as baseless. Moreover, a very well deliberated decision in writing, of the Commission was required while conforming to the Circular dated 8-9-2000 but no such decision is on record nor any such decision was ever arrived at. It is a long drawn settled law that if an act is required to be done in a particular way with a particular method and procedure prescribed, it should be done only in accordance with the said provisions of procedure and any other methodology adopted for short circuiting such elaborate and transparent procedure is invalid and void ab initio.

73. The other letter of August 24, 2001 seeking guidelines from the Regulatory Commission is again meaningless as neither the guidelines could be issued by the Commission nor such guidelines, even if issued would conform to the provisions of sub-section (5) to sub-section (8) of Section 24 of the Reforms Act, 1999. We are of the view that these two letters do not carry any legal significance as their contents are in conflict with the provisions of Section 24 of the Reforms Act.

74. It was then argued that according to the *Webster's Dictionary*, the word, "guarantee" means an assurance that something will be replaced if it does not meet specifications. In other words, it guarantees a pledge by which a person commits himself to the payment of another's debt or the fulfilment of another's obligation in the event of default. Since, as added further, there was no pledge made by the U.P.P.C.L. to provide guaranteed supply of 500 hours in a month, surcharge could not have been recovered as the Power Corporation failed to come alive to its commitment with the guaranteed supply. In this context, it may be observed that whether there was a guaranteed or assured supply of 500 hours in a month or not is a question of act, into the arena of which we would not like to enter. Such a factual issue can be determined by the prescribed authority, who is competent to hear the objections raised against the bills served upon the consumers. Likewise, it was also not within the scope of the commission to have embark upon this issue as the role of Commission is to determine the tariff and not to delve upon the factual controversies. Similarly, the question of erratic supply is not to be delved upon by the Commission but it is to be looked into by the billing authority and questions about the laxity in the guaranteed supply of 500 hours or power failure despite power supply on independent feeder ought to have been gone into by the billing authority or the appellate authority but not by the Regulatory Commission.



75. Mr. Vivek Raj Singh, learned counsel for the I.T.I. Limited, Mankapur contended that the preamble to the chart prepared in the box by the Regulatory Commission whereby two kinds of surcharges were levied had created an utter confusion. The relevant portions of the tariff order in respect of HV-2 consumers may be quoted as under:

“The current tariff for this category consists of demand charge of Rs. 125 per KVA per month plus energy charge of Rs. 3.70 per kwh. The Commission appreciates the fact that electricity rates for industry in this State are quite high and a sharp increase in the rates will be counter-productive. The number of industrial units setting up their own captive power plants is increasing and this trend needs to be arrested. We are, therefore, increasing the demand and energy charges only by 5%.”

“To ensure availability of power to industries connected to independent feeders emanating to 132-KV, 220 KV and 400 KV Substations, they shall be allowed to operate during peak hours as well. They will be able to do so by paying small additional charge of 15% on the amount of bill in a month. These consumers will be ensured minimum 500 hours supply. In case of shortfall in the guaranteed hours of supply a rebate of 1% per 10 hours or part thereof shall be admissible on the total amount of the bill.”

“Fixed charges Rs. Per KVA per month energy charges Paise per unit

UPERC As Approved	
Demand Charge PLUS	130
Energy Charge	390
For consumers getting power supply in Restricted hours	15% surcharge on demand and energy charges
For consumers getting power supply on independent feeders emanating from 400/220/132-KV	15% surcharge on demand and energy charges and have the assured supply of minimum 500 hours in a month. In case of shortfall in the guaranteed hours of the supply, a rebate at the rate of 1% per ten hours or pan thereof shall be

	admissible on the total amount as computed under rate of charge.
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In case where demand is recorded in KW, the demand charge shall be computed assuming the power factor as 0.85.

For connection in rural area getting power supply as per rural schedule a rebate of 10% on the amount of demand charge and energy charge will be given.

In respect of the supply during peak hours/restricted hours, the consumer shall have to take the permission from UPPCL with the intimation to the Commission."

76. Making a categorical reference to the above provisions laid in the Commission's order dated 27-7-2000, Mr. Vivek Raj Singh submitted that the Commission did not intend to levy two kinds of surcharges as the electricity rates for industries in this State are already high and therefore, further increase in rates inclusive of surcharge will be counter-productive. Therefore, a nominal increase of 5% was approved and accordingly notified. The consumers having independent feeders were placed under an obligation of only one surcharge of 15% and in lieu thereof, they were permitted to operate their industries during peak/restricted hours as well but in that case, such consumers were to be ensured with minimum 500 hours supply in a month. In other words, Mr. Vivek Raj Singh's contention is that not two but one kind of surcharge was levied by the Commission. However, he conceded that fixation of two kinds of surcharge — one for using power during restricted hours and the other getting power supply on independent feeders with 500 hours guaranteed supply created ambiguity and utter confusion and the present litigation is a consequence thereof. Learned counsel made an endeavour to persuade us to remove the ambiguity by holding that only one kind of surcharge of 15% was approved for such consumers who had independent feeders and who conveyed their need of getting power during restricted hours. It would be extremely difficult for us to be in agreement with the learned counsel as acceptance of such a plea would again thwart the entire procedure prescribed under Section 24 of the Act. As pleaded on behalf of the Commission, the Commission had notified the charges and surcharges both.



invited objections and eventually approved them and also got them notified. In case the two surcharges were sequel to some ambiguity or confusion, the UPPCL must have approached the Regulatory Commission for alteration or amendment in the said surcharges which could have been dealt with by the Commission in accordance with the

guidelines and the prescribed procedure. But never any such attempt was made either by the UPPCL or by any one else. And, at the top of it, the Commission has ruled out any possibility of there being any confusion.

77. The fact that the Regulatory Commission on the recommendation of the UPPCL abolished the surcharge for the succeeding financial year will confer no right upon the appellants and the petitioner to avail the same benefit unless the commission agreed for abolition of such surcharges for the financial year 2000-2001 and issued instructions for UPPCL while exercising powers under sub-section (6) of Section 24 of the Reforms Act, 1999 to modify the tariff. Even this Court in *L.M.L.'s case* (2001 All LJ 2520) had delved upon the above plea and held in Para 15 of the judgment that there is absolutely no ambiguity or confusion of any kind of the tariff as approved by the Commission. The relevant portion of the judgment may be quoted as below:

“There is absolutely no ambiguity or confusion of any kind in the tariff as approved by the Commission. It clearly contemplates two categories of consumers. One category is of consumers who get power supply in restricted hours and the other category is of consumers, who get power supply on independent feeders emanating from 400/220/132-KV Sub-stations. The two categories are wholly independent and distinct and they are not inter-linked with each other.”

78. In para 25, the High Court in the *L.M.L.'s case* (2001 All LJ 2520) ruled that once a tariff was approved by the Commission, the licensee had no power to alter or vary the same. The Circular of UPPCL insofar as it is in consistent with the tariff approved by the Commission is void and held inoperative in law. The petitioner of that case, namely the *L.M.L. Limited* was not held to be entitled to avail benefit of the Circular dated 8-9-2000 and since it was held that the petitioner was getting supply from an independent feeder line emanating from 132-KV Sub-station, it was fully covered by the relevant part of the tariff and was as such liable to pay 15% surcharge.

Whether judgment in *L.M.L.'s case* was per incuriam

79. Learned counsel for the appellants and the petitioner argued that the judgment in *L.M.L.'s case* (2001 All LJ 2520) was per in curium and the same was governed by the principle of subsilentio. In support of the first limb of the above argument, reference has been placed on the Supreme Court decision in, “*Maharashtra State Co-operative Cotton Grower's Marketing Federation Ltd. v. Employees' Union* (1994 Supp (3) SCC 385 : AIR 1994 SC 1046)”. In this decision, the Hon'ble Supreme Court held that if a pronouncement has been made on the basis of a

presumption contrary to the facts, such decision will be treated as per incuriam. In that case, the Supreme Court in an earlier decision of *Pandurang Khade's case* (1989 Supp (1) SCC 226 : AIR 1989 SC 485), held that the seasonal employees and perennial employees were to be treated at par as the two terms were synonym of each other. With reference to the *Pandurang Khade's case*, it may be mentioned that the Apex Court proceeded in that case on the footing that the Patankar Award had held entitled even the seasonal employees to be made permanent but this presumption was not borne out by the facts. It was categorically held by the Supreme Court in *Maharashtra State Co-operative Cotton Growers' Marketing Federation's case* (supra) that the seasonal employees were not to be treated as perennial employees. As a matter of fact, neither the Patankar Award nor the model standing orders applied to the case of seasonal employees nor such employees could have been treated at par with perennial employees. The Supreme Court in the latter case thus held that the judgment of *Pandurang Khade's case* being based on wrong presumption was per incuriam and, in fact, not attracted towards the seasonal employees. It was in this situation that the earlier judgment in



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Pandurang Khade's case was termed to be as per incuriam. Such are not the facts in the present case before us. If we carefully look at the decision of this Court in *L.M.L.'s case*, the position would be crystal clear.

80. Before we proceed to make a reference to the *L.M.L.'s case* (2001 All LJ 2520), it would be all the more necessary to mention as to on what line of argument the said decision is being referred to as a judgment per incuriam. The submission of the learned counsel in this context is that the *L.M.L.* in that case questioned the validity/propriety of column 3 of the chart whereby tariff included surcharge of 15% for power consumption during restricted hours. The judgment remained confined to column 3 alone. In other words, it has been contended before this Court that since the controversy in issue in *L.M.L.'s case* did not pertain to column 4 which provides for surcharge of 15% for using power on independent feeder with 500 hours assured supply, was not at all involved in *L.M.L.'s case*, the said judgment having not dealt with the issue of independent feeder's surcharge will have to be termed to be as per incuriam and therefore not attracted towards the present cases. No doubt, the petitioner claimed relief for exemption from the surcharge of 15% for using power during restricted hours, on the

ground that the said factory was running as a non-continuous process industry and therefore, it did not consume power from 6.00 p.m. to 11.00 p.m. However, the Division Bench dismissed the said plea and held as follows (Para 18 of All LJ):

“The provisions referred to above show that the Commission alone has got the power to issue a licence for supply or transmission of power and while granting a licence it can prescribe the terms and conditions including that of establishing a tariff under which the supply or transmission is to be made. In case of breach of any condition of licence the Commission can revoke the same. The Commission has power to examine whether the tariff charged by a licensee is proper or not and it can issue directions for modification thereof. The licensee cannot implement any tariff unless it has been approved by the Commission. Thus, the provisions of the Act and the Regulations framed thereunder show in unmistakable terms that it is a tariff as approved by the Commission which is final and binding and it is not permissible for the licensee, consumer or anyone else to vary or alter the same.”

81. It is clear from above that the licensee was held to be not authorised to issue any concession or relaxation as regards the tariff rates without approval of the UPERC. The principle of law on the basis of which this finding was given is understandable. As held, UPERC alone is competent to determine the rate or make any alteration therein. Undoubtedly, the above principle of law was laid down in the context of column 3 of the tariff chart, i.e. use or non-use of power during restricted hours but this Court well deliberated the intricacies of column 4 as well. In Para 22 of the said judgment, the High Court observed that the contention raised on the basis of Circular dated 8-9-2000 as regards use of the power through independent feeder was equally untenable. It was candidly ruled that the Circular while retaining the provision of rebate of 1% for each 10 hours shortfall but providing for exemption from 15% surcharge (for not requiring 500 hours supply through independent feeder) was a clear alteration of the approved tariff which is not permissible in law.

82. While dealing with the argument put forward on behalf of L.M.L. Limited to the effect that the licensee was authorized while publishing the tariff in newspapers to alter the same but with embargo of such alteration being in consonance with clauses (a)(b) and (c) of sub-section (7) of Section 24, the High Court held as follows (2001 All LJ 2520, Para 22):

“.....In our opinion, the contention raised is wholly fallacious. The scheme of the Act which we have referred to in detail clearly shows that a tariff approved by the Commission alone can be implemented by a licensee and it has no power to alter or vary the same. The

Circular of UPPCL in so far as it is inconsistent with the tariff approved by the Commission is void and wholly inoperative in law. The petitioner therefore, cannot get any advantage by exercising an option in terms of



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the Circular by which it informed by registered post that it did not want an assured supply of 500 hours in a month.”

83. From the observations quoted above, it remains no doubt that the Circular dated 8-9-2000 was scrutinised as a whole and held to be inoperative in law. It would be incorrect to say that it was dealt with piecemeal and the matter pertaining to surcharge leviable for use of power through independent feeder was not discussed or dealt with. Obviously, therefore, the principle of per incuriam will not be attracted. The High Court also refused to accept the contention that there would be a distinction between a consumer having paid for the independent feeder and the other having acquired a separate line at the expense of the licensee. While rejecting such a suggestion, the High Court held that the licensee is authorised to use the independent feeder of a consumer in spite of the fact that the latter had made full payment for the said independent feeder, to provide power to another. In such case, no doubt, interest of consumer paying for the feeder has to be protected but if the power is in surplus, it can be used for an other consumer. On the basis of this distinction, the Court held that the fact as to whether the consumer has or has not paid for the independent feeder will have no bearing upon the liability of the consumer to pay tariff including the surcharge. In these circumstances, we are of the considered opinion that neither the rule of per incuriam is attracted nor that of sub-silentio.

Rule of Sub Silentio

84. A decision is said to have passed sub silentio in the technical sense that has come to be attached to that phrase, when the particular point of law involved in the decision is not perceived by the Court or present to its mind.

85. Learned counsel for the appellants while pleading that the *L.M.L.'s* case would attract the rule of sub silentio placed reliance upon the Apex Court's decision in, "*State of U.P. v. Synthetics and Chemicals Limited* (1991) 4 SCC 139. The Hon'ble Supreme Court held in this case that a decision which is not express and is not founded on reasons nor it proceeds on consideration of issue cannot be deemed to be a law declared to have a binding effect as is contemplated by Article 141 and

in such circumstances precedents sub silentio and without argument are of no moment.

86. As discussed above, we are unable to accept the plea of the learned counsel for the appellants and the writ petitioner with reference to the decision cited above for the simple reason that the decision in *L.M.L.'s case* (2001 All LJ 2520) has very clearly and in unambiguous terms dealt with the statutory provisions of the Electricity Reforms Act and put the entire Circular dated 8-9-2000 to the touchstone of the provisions of the said Act and arrived at a decision that this Circular was wholly inoperative in law. Accordingly, we are inclined to hold that neither the rule of sub silentio is attracted towards the facts and circumstances of these cases, vis-a-vis the *L.M.L.'s case* nor the decision cited above is of any help to the appellants and the writ petitioner.

87. For the same reason, the decision, "*A-One Granites v. State of U.P.* (2001) 3 SCC 537 : (2001 All LJ 584)" and "*Municipal Corporation of Delhi v. Gurnam Kaur*, (1989) 1 SCC 101 : AIR 1989 SC 38" are not applicable as in these decisions, the issues of law and facts really involved were not referred to in the earlier decisions. In the former case, Rule 72 of U.P. Minor Minerals (Concession) Rules, as amended had not been discussed or even referred to in the earlier appeals. It was, therefore, held that the earlier decisions were no longer res integra. In the latter case of *Municipal Corporation of Delhi* (supra), the earlier decision was based on the consent of the parties. The Hon'ble Supreme Court held that when a direction or order is made with the consent of the parties, the Court does not adjudicate upon the rights of the parties nor lay down any principle. Quotability as 'law' applies to the principle of a case its ratio decidendi. Therefore, earlier decision, pronounced with the consent of the parties was treated to be a precedent sub silentio and without argument on the issue. The earlier judgment, in other words, was held to be delivered without



argument, without reference to the relevant provisions of the Act conferring express power on the Municipal Corporation to direct removal of encroachment from any public place like pavements and public streets.

88. On the other hand, learned counsel for the respondents referred to a series of decisions of the Apex Court wherein it was held that a Division Bench decision of a High Court is binding upon another Division Bench of the same Court. In this context, reference may be

made to the following decisions:

1. *Rajesh Kumar Verma v. State of Madhya Pradesh*, (1995) 2 SCC 129 : AIR 1995 SC 1421
2. *Union of India v. Godfrey Philips India Limited* ((1985) 4 SCC 369 : AIR 1986 SC 806).
3. *Sundarjas Kanyalal Bhatija v. Collector, Thane, Maharashtra* ((1989) 3 SCC 396 : AIR 1990 SC 261).

89. In the case of *Rajesh Kumar Verma* at Serial No. 1, the Hon'ble Supreme Court held that the proper course for a Division Bench to differ with earlier decision of a Division Bench of the same Court is to refer the matter to a larger Bench, a course which the subsequent Division Bench did not follow. It was also ruled that the subsequent Division Bench could not have refused to follow the decision of the former Division Bench even on the ground that in the earlier decision, a Supreme Court's decision has not been followed. It was also held that a decision of a Division Bench is a good precedent which is to be followed by a subsequent Division Bench. Before us, the decision of *L.M.L.'s case* (2001 All LJ 2520) duly pronounced by a former Division Bench candidly and categorically deals with all the points — legal or factual, involved. We, therefore, regard it as a precedent binding upon us. We do not find even an iota of the argument to differ with the said decision.

90. Similarly, in *Godfrey Philips' case* ((1985) 4 SCC 369 : AIR 1986 SC 806) at serial No. 2, the Supreme Court held that a Bench of the Court cannot overrule or disapprove decision of another Division Bench of equal number of Judges. In case of disagreement, the matter should be referred to a larger Bench.

91. In the third decision of *Sundarjas Kanyalal Bhatija* ((1989) 3 SCC 396 : AIR 1990 SC 261), the Supreme Court while delving upon the *Stare Decisis* laid down that when a Bench of the High Court disagrees with another Bench of coordinate jurisdiction of the same High Court, it must refer the matter to a larger Bench. The following observations may be quoted as below to make our point:

“.....Pursuit of the law, however, glamorous it is, has its own limitation on the Bench. In a multi-Judge Court, the Judges are bound by precedents and procedure. They could use their discretion only when there is no declared principle to be found, no rule and no authority. The judicial decorum and legal propriety demand that where a Single Judge or a Division Bench does not agree with the decision of a Bench of coordinate jurisdiction, the matter shall be referred to a larger Bench. It is a subversion of judicial process not to follow this procedure.”

92. Following the principle of law laid down by the Apex Court in the above decisions, we arrive at a conclusion that the judgment of the

Division Bench in *L.M.L.'s case* (2001 All LJ 2520) is binding upon this Bench and since all the relevant issues pertaining to the law involved have been discussed and adjudicated by the former Bench, we are bound by that precedent and, therefore, we hold it a good law and precedent.

The Rule of Promissory Estoppel

93. Learned counsel for the petitioner and appellants while relying upon the principle of promissory estoppel contended that the UPPCL is estopped from deviating from its commitment or promise as envisaged in the Circulars dated 8-9-2000 and 15-12-2000. In this very context, learned counsel appearing for the sole writ petitioner also contended that the UPPCL is all the more estopped from withdrawing the option offered to the writ petitioner by means of the aforesaid Circular as consequent to the issuance of the said option which was practically availed of by it the writ petitioner had transferred the said benefit to its customers by reducing the price of its products.



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The analogy for reduction of the prices was abolition of the surcharge of 15% which had been exempted by the UPPCL. The natural consequence of such reduction was the reduction in the cost price of their products. Indeed, since the products had been sold and price realised, the writ petitioner is not in a position to ask for the additional cost of such products from the buyers and if in such a situation of predicament, the petitioner would be asked to pay 15% surcharge, its financial burden will increase to an alarming proportion resulting in a financial crisis. The respondents are, therefore, as pleaded by the petitioner, estopped to resile from their promise to withdraw the surcharge.

94. Likewise, the appellants have submitted that the UPPCL, by providing an option of not using power for minimum 500 hours through independent feeder or during restricted hours, had promised to provide a relief to the consumers, and therefore, if the Corporation will be allowed to retract from its promise, it will entail serious consequences. In such situation, the act of withdrawing the relevant Circulars would be barred by the principle of promissory estoppel.

95. We would deal with the above two arguments put forth by the writ petitioner and the appellants in seriatim.

96. In so far as the contention of the learned counsel for the petitioner is concerned, it may be observed that no document clearly indicating that the power reduction was the logic behind reduction of the prices of their products has been produced before this Court. No

doubt, some invoices were placed for perusal of the Court which appear to indicate that prices of the petitioner's products were lowered down but there is nothing on record to show that such reduction of the prices was linked with exemption of the surcharge. The writ petitioner had not issued any notification/notice to convey its intention of getting the price reduced following exemption of surcharge. In the absence of such a close link between the reduction of prices and exemption of surcharge, we are not inclined to uphold the contention of the learned counsel for the petitioner and hold that the UPPCL would be bound by the principle of promissory estoppel, particularly when the Circulars in question, as held above, were contrary to the statutory provisions of the Reforms Act, 1999.

97. Learned counsel for the appellants in support of their argument, cited a decision of the Supreme Court delivered in "Civil Appeal Nos. 885 to 893 of 1967, *The Union of India v. Anglo Afghan Agencies* AIR 1968 SC 718". It was held in this decision that it is open to a party who had acted on a representation made by the Government to claim that the Government shall be bound to carry out the promise made by it, even though the promise was not recorded in the form of a formal contract as required by Art. 299 of the Constitution. The issue in that case related to the Export Promotion Scheme floated by the Textile Commissioner whereby the exporters were given an incentive of being entitled to import raw materials. Although there was no contractual liability on the part of the textile corporation, yet the Union of India was held to be bound by the promise made by it. In that case, the import policy was held to be not contrary to the provisions of any statute. The commitment made by the Union of India was purely executive in character, and therefore, it was held that the Courts had the power to compel performance of obligations imposed by the Scheme upon the departmental authorities.

98. In the cases, in hand, the question of power tariff is to be determined in accordance with the provisions of the Reforms Act, 1999. We have already discussed in detail such relevant provisions and arrived at a conclusion that the licensee, i.e. the UPPCL had no authority to alter the power tariff determined by the U.P. Electricity Regulatory Commission. If the promise of exempting surcharge is implemented, it will amount to breach of the provisions of Section 24 of the Reforms Act and it is a settled law that there can be no 'promissory estoppel' against a statute. This view is fortified by the Apex Court's decision in, "*Sharma Transport v. Government of A.P.* ((2002) 2 SCC 188 : AIR 2002 SC 322)". It was held in this pronouncement that the principle of promissory estoppel

cannot be used to compel the Government or a public authority to act contrary to law or beyond its authority. The Hon'ble Supreme Court ruled as follows (Para 13 of AIR):

“.....Even though a concession is extended for a fixed period, the same can be withdrawn in public interest. There cannot be estoppel against any statute. There is preponderance of judicial opinion that to invoke the doctrine of promissory estoppel, clear, sound and positive foundation must be laid in the petition itself by the party invoking the doctrine and that bald expressions, without any supporting material, to the effect that the doctrine is attracted because the party invoking the doctrine has altered its position relying on the assurance of the Government would not be sufficient to press into aid the doctrine. The principle of promissory estoppel is that where one party has by his word or conduct made to the other a clear and unequivocal promise or representation which is intended to create legal relations or affect a legal relationship to arise in the future, knowing or intending that it would be acted upon by the other party to whom the promise or representation is made and it is in fact so acted upon by the other party, the promise or representation would be binding on the party making it and he would not be entitled to go back upon it, if it would be inequitable to allow him to do so.”

99. As a matter of fact, the doctrine of promissory estoppel is based on the principles of equity. This principles was evolved to avoid injustice. It has object to interpose equity shorn of its form to mitigate the rigour of strict law but it is a settled law that promissory estoppel cannot be used to compel the Government or a public authority to carry out a representation or promise which is prohibited by law or which was devoid of the authority or power of the officer of the Government or the public authority to make.

100. In the appeals before us, the UPPCL was not a competent authority to have issued the relevant Circular of 8-9-2000 and moreover the benefit of exemption from the surcharge was against the enacted provisions of Section 24 of the Reforms Act. Therefore, we are of the decisive opinion that the doctrine of promissory estoppel is not attracted here to protect the interest of the appellants or the writ petitioner.

101. The Apex Court in another decision has followed the aforesaid view. In *“Pune Municipal Corporation v. Promoters and Builders Association, ((2004) 10 SCC 796 : AIR 2004 SC 3502)”*, the Supreme Court held that the doctrine of promissory estoppel cannot be invoked

against a statute.

102. The citation, "*Century Spinning & Manufacturing Co. Limited v. The Ulhasnagar Municipal Council*, (1970) 1 SCC 582 : AIR 1971 SC 1021", relied upon by the learned counsel for the appellants, is distinguishable on comparison of the facts of the said case with that of the appeals pending before this Court. Therefore, that citation is not applicable to the case of the appellants. In that case, the State Government of Maharashtra being competent to restrain Municipal Board from realising any octroi for a period of seven year was bound by the commitment it had made. It was to the special features of that case that the doctrine of promissory estoppel was held to be attracted but as said above, the facts are entirely different from the one of the appeals pending before this Court. In that case, the Government was held to be bound by its own commitment to exempt from sales tax the sales of vanaspati effected in Uttar Pradesh for a period of three years from the date of commencement of production. The Century Spinning and Manufacturing Mill, i.e. the appellant of that case acted upon this representation of the Government, borrowed moneys from various financial institutions, purchased plant and machinery and set up a Vanaspati Factory at Kanpur. It was held by the Supreme Court that the Government was bound to extend the benefit of exemption on the basis of the principle of promissory estoppel to make good the representation made by it. In that case, the representation or say the promise made by the Government was not contrary to any law and, therefore, the said decision is not applicable here. For the same reasoning, the decisions in "*State of Punjab v. Nestle India Limited* (2004) 6 SCC 465 : (AIR 2004 SC 4559)"



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and "*Pawan Alloys & Casting Private Limited, Meerut v. U.P. State Electricity Board* (1997) 7 SCC 251 : (1997 All LJ 2202)" have no application to these appeals.

103. Thus, our categorical finding on the legal plea of the doctrine of promissory estoppel is that such principle being not applicable against the statute cannot be invoked against the UPPCL or the UPERC.

104. An attempt has been made to put forth the issue of unfair business being conducted by UPPCL. Learned counsel for the appellants contended that the licensee was getting undue advantage of realising surcharge for consumption of power on independent feeder during restricted hours. Further it is supplemented that it is implied with the installation of an independent feeder that the consumer will get 24

hours supply without any break and in case of some of the appellants, the characteristic of their factory is a continuous process — meaning thereby that if a factory is required to run all the 24 hours and it has taken power connection by making huge investment for installation of independent feeder, it is inherent obligation of the licensee to supply power for all the 24 hours without making any provision for realisation of surcharge; and certainly in such situation, consumption of power during restricted hours will not entail liability for payment of additional charges in any form including surcharge.

105. In this context, it may be observed that the issue of UPPCL getting undue or unfair advantage of surcharge cannot be raised after the Commission finalises the annual tariff in accordance with the provisions of Section 24 of the U.P. Electricity Reforms Act, 1999. The provisions of Section 24 have already been quoted above and as is evident the licensee (Section 24(4)(b)) shall publish, within three days from submission of the proposal for the tariff for the ensuing year, a notice in at least two daily newspapers, widely circulating in the area of supply, outlining the proposed tariff and calling for objections from the interested persons and the State Government. It is this stage when a consumer must lodge his protest to the proposed tariff if in his view the licensee has proposed some such tariff which will fetch undue advantage or it is likely to indulge in conduct of unfair business. Sub-clause (c) postulates that the Commission while determining the tariff shall take into consideration the objections, if any, received within one month from the date of last publication of the notice. Then, sub-section (5) provides that the Commission shall, within ninety days from the date on which the licensee has furnished the information give notice to the licensee to either accept or not to accept or accept in part the proposed modifications.

106. When, the procedure is so well defined and it gives an ample opportunity to a consumer to raise objections, no plea regarding conduct of unfair business can be permitted to raise at a belated stage. The tariff once determined is not changeable and the same will last up to the end of the financial year for which it has been finalised. In nutshell, we can hold that the plea of unfair business being conducted by UPPCL cannot be permitted to be raised once the tariff is finalised and notified after inviting objections from the consumers in accordance with the procedure laid in Section 24 of the Uttar Pradesh Electricity Reforms Act, 1999.

107. We are thus convinced with the argument of the learned counsel for the respondents that the UPPCL was not authorised to issue the circular dated 8-9-2000 contrary to the provisions of Section 24 of the U.P. Electricity Reforms Act, 1999, in which a power is envisaged for determination of tariff by the UPERC. If there were some billing

complaints on the basis of the appellants' plea that some of them had not used power during restricted hours or the power was not used on independent feeder with minimum assured supply of 500 hours, the appellants could have raised these issues before the AE (Revenue), EE (Revenue) or DGM who is the appellate authority. The relevant provisions regarding such complaints to be filed are contained in paras 7.18, 7.19 and 7.20 of Uttar Pradesh Electricity Supply Code-2002. The Regulatory Commission may also be approached under para 7.26, if a consumer has exhausted the channels for redressal of grievance set up by the



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licensee. Neither the appellants nor the writ petitioner have taken recourse to the proceeding of pleading their grievance before the authorities enumerated in the paras, quoted above.

108. Further, we are of the opinion that the plea of seeking permission of the Commission to approach the High Court for correct interpretation of L.M.L.'s decision (2001 All LJ 2520) could not have been raised before the Commission nor the latter had any such authority to grant kind of the sanction sought. The Commission too had no authority to interpret the judgment and come to a different or a conflicting opinion.

109. As a matter of fact, all these appeals are not maintainable in view of the clear-cut provisions of Section 36 of the U.P. Electricity Reforms Act, 1999, which provides as follows:

“36. Appeals from the orders of the Commission.— Any person aggrieved by an award or order of the Commission under this Act (other than an award or order under Section 34 involving a valuation of up to 50,000 rupees only) may, within sixty days from the date of communication to him of the order of the Commission, prefer an appeal to the High Court:

Provided that the High Court may, if it is satisfied that appellant was prevented by sufficient cause from filing the appeal within the said period, allow it to be preferred within a further period not exceeding sixty days.”

110. In fact, it appears that the appellants have evolved a device to approach the Regulatory Commission by filing applications for permission to approach the High Court with the permission to keep their petitions challenging the validity of UPPCL's order dated 31-8-2001 pending. The Regulatory Commission clearly held that no such permission could be granted as there was no such provision under the

Reforms Act. The review petitions were also dismissed on the same analogy on 28-9-2002. In this way, the provisions of Section 36 of the Reforms Act cannot be invoked to challenge the impugned orders of September 12, 2002, October 4, 2002, 11-9-2003 and circular letter dated 31-8-2001. Under Section 36 of the Reforms Act, as is evident from the provisions of the said Section, an appeal can be preferred before this Court against the orders of the Regulatory Commission on the issue, enumerated in the said Section. We are, therefore, of the view that the appeals are not maintainable and they, therefore, deserve to be dismissed on account of this legal provision.

111. Learned counsel for the respondents also raised the issue that the appeals No. 75, 76, 78, 82 and 96 — All of 2002 were purposely and deliberately undervalued. The following chart shows that the appeals were not properly valued in order to escape statutory liability of making payment at the time of filling the appeals.

Sl. No	Case No.	Valuation in appeal (In Rs.)	Demand by UPPCL (In Rs.)
1.	F.A. No. 75 of 2002 Saini Alloys	2,15,311.00	1,05,39,082.07
2.	F.A. No. 76 of 2002 Kajaria Ceramics	2,04,310.00	58,27,351.57
3.	F.A. No. 78 of 2002 Modipon Fibers Co	2,04,310.00	1,02,13,731.00
4.	F.A. No. 82 of 2002 Samtal Color Ltd.	2,54,466.00	25,46,664.00
5.	F.A. No. 96 of 2002 Jagannath Steels Pvt. Ltd.	1,63,000.00	51,19,241.00

112. We can certainly hold that the appellants of the appeals have not come to the Court with clean hands. The valuation of these appeals was far less than the demand made by the UPPCL. We cannot approve of such a device by taking recourse to underhand dealings. The long and short of discussions made above may, in brief, be pointed out as below:

1. The appeals are not maintainable under Section 36 of the Uttar Pradesh Electricity Reforms Act, 1999 and therefore, deserve to be dismissed on this score alone.
2. The judgment in, "*L.M.L. Limited, Kanpur v. State of U.P.* AIR 2001 All 321 : (2001 All LJ 2520)" is binding upon this Court as a precedent.
3. The said judgment in *L.M.L.'s* case was neither a judgment per incuriam nor the principle



of sub silentio by any stretch of reasoning is attracted.

4. The circulars dated 8-9-2000 and 15-12-2000, being otiose to the provisions of Section 24 of the Reforms Act. were absolutely illegal and wholly inoperative in law.
5. The Commission had never approved of alteration in tariff made by virtue of the circular orders in question. No significance would be attached to the theory of deemed approval.
6. Raising irrelevant issues before the Commission was not a bona fide move.
7. The UPPCL had no authority or power to issue the aforesaid circulars.
8. The doctrine of promissory estoppel is not applicable to the appeals and writ petition filed before this Court.
9. Indeed, it was not within the jurisdiction of the Commission to either interpret the LML's decision or permit the appellants to approach the High Court.
10. The above appeals No. 75, 76, 78, 82, 96 — all of 2002 filed before this Court were strategically undervalued — an act which deserves to be censured.
11. Although the circulars dated 8-9-2000 and 15-12-2000 were illegally issued and therefore, did not acquire any significance, yet the circular dated 31-8-2001 withdrawing the aforesaid earlier circulars of 2000 was perfectly valid.

113. In view of the findings arrived at above, all the appeals and the writ petition, being devoid of merit are hereby dismissed with costs.

114. *Appeals dismissed.*

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